# The Culture of Business, Finance and the Economy

## Class 9 – April 7

**Dr. Juan M. del Nido**

**First semester 2026**

# Recap

**Thinking like an Economist: a particular way of reasoning based on economic logics: efficiency, choice, competition, etc.**

**Once it takes hold, exceptionally hard to dislodge, partly because it appears to be beyond culture, beyond the political (=beyond dispute)**

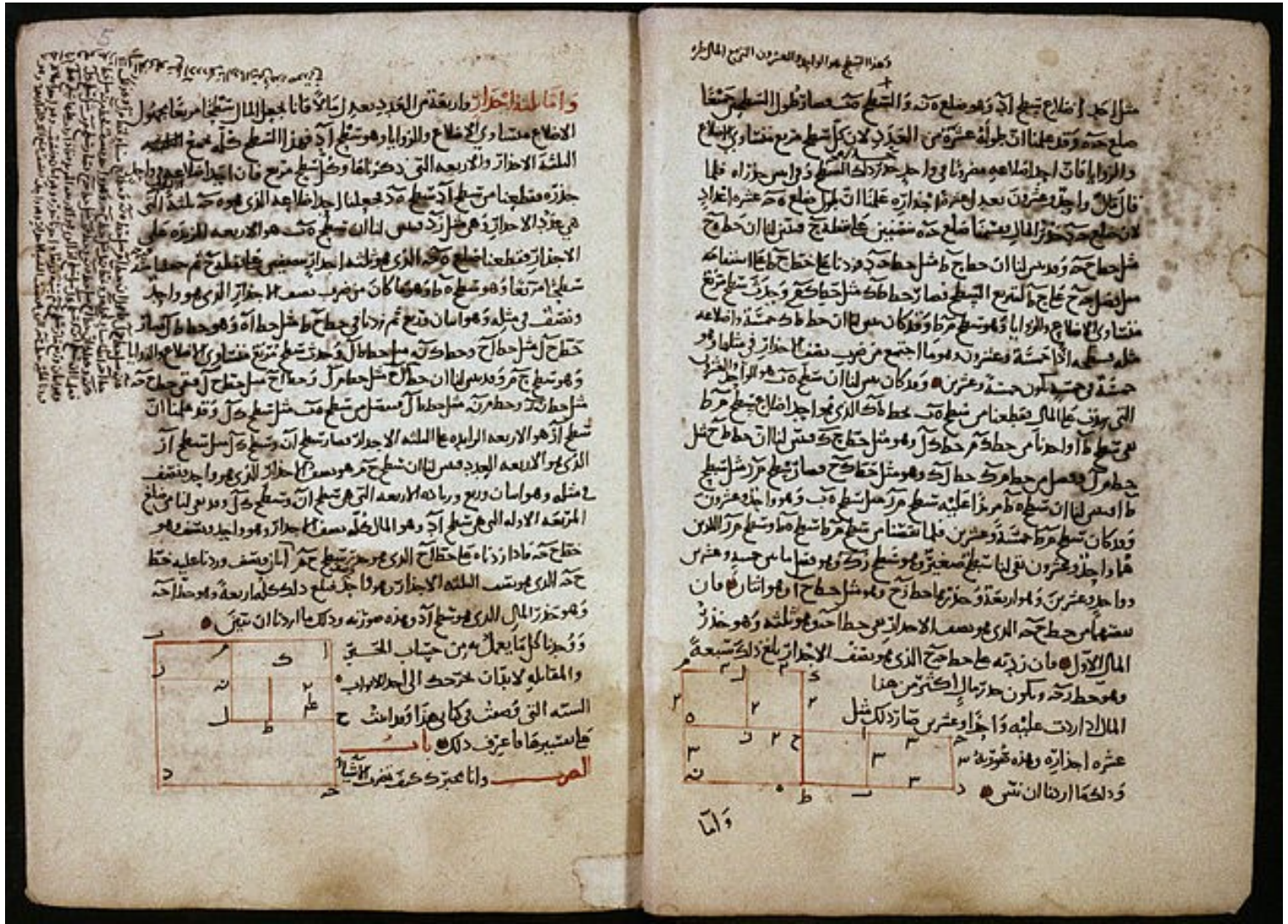
# Today

## Part 1: Quantification

**TCBFE is to a great extent a way of knowing through numbers and of developing techniques to give numbers to things to make them work, and workable, in a particular way.**

# Al-Kwarizmī

# “Compendious Book on Calculation by Completion and Balancing”, 820 A.D.



**“When I considered what people generally want in calculating, I found that it always is a number.”**

**“a number” to work with, however imperfect, vs. unspeakable numbers and unmanageable equations.**

**In order to work for finance, government, tech, business, taxes,  commerce, industry…**

**… in order to value, cost, price, project, hedge, etc…**

**…TCBFE needs to assign numbers to things - to all sorts of things - that may not be a Divine and absolute truth, but are workable.**

# Example 1

ROCKWOOL

Products & Applications | Advice and Inspiration | About Us | Contact

## The cost of noise pollution

Jan Simonsen
May 8, 2019

It's not only deadly, but expensive too.

Share

**Noise pollution costs the British economy around £20 billion annually in economic, social, and health costs. For example, heart disease derived from exposure to daytime traffic noise costs approximately £1,183 million per annum. Meanwhile, tinnitus from traffic/leisure noise and hearing loss from loud music cost £52 million per annum and £38 million per annum respectively. At the same time, daytime and night-time noise can result in slower learning in children, which costs £252 million per year.**

**There are also further costs associated with loss of amenity. This refers to the conscious displeasure of those exposed to the noise. Such situations include noise pollution affecting house price value, sleep disturbance, or the cost of measures to reduce exposure to noise pollution. Loss of amenity from noise pollution is valued at approximately £2-3 billion a year**

# Example 2

HE Professional.

Home Why Join? Content Events Subscribe
Sponsor Search

Student Experience & Satisfaction 7 Apr, 2020 • By HE Professional Team

## How to Measure Student Engagement in Higher Education

**2. Student Reports**

It’s an incredibly practical, cost-effective approach that can be given to the majority of students. It’s also one of the better ways of measuring the subjective thoughts and feelings of students, plus other non-observable data.

**3. Work Sample Analysis**

(...)

**4. Experience Sampling**

One of the more complex measuring techniques. It’s used to identify engagement ‘flow’ and is done by selecting students to respond to things like current activities, mental state and affect level.

These responses are given in response to an electronic alarm which sounds at various times. It provides a good contextualisation of engagement levels across time and within specific situations.

**5. Rating Scales and Checklists**

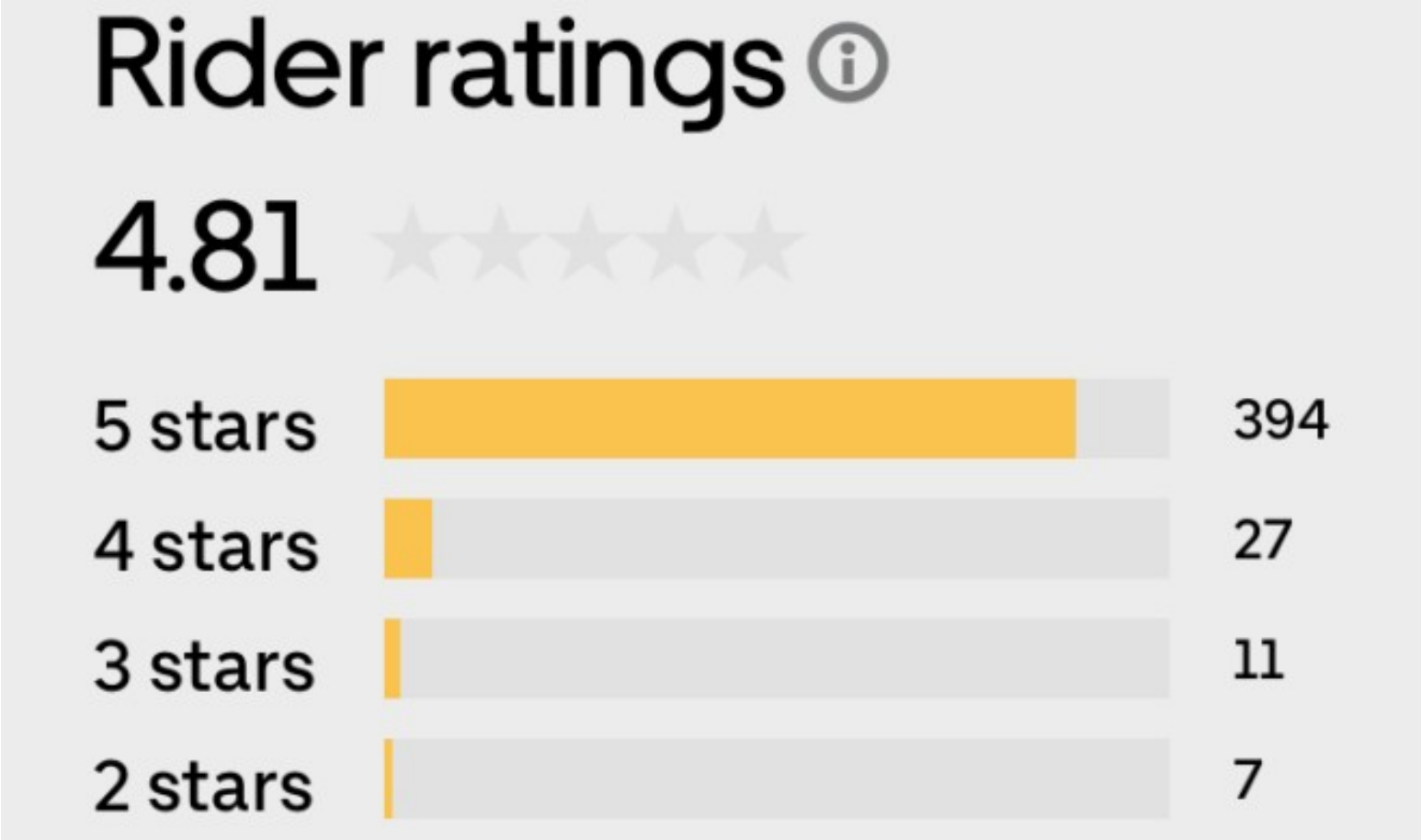
Checklists or rating scales can be sent out as surveys. They help to show student investment in certain target behaviours such as satisfaction with course subject matter.

**6. Teacher Ratings**

The ratings that professors can give on the behavioural and emotional attitudes displayed by their students. They’re limited to which teacher has enough experience with students, but they can be highly-detailed.

**Numbers transfer the authority of mathematics to the claims to which numbers are assigned.**

# Example 3: Uber



# Example 4: Chernobyl

# feature

## ☢ Nuclear Payouts

### Knowledge and Compensation in the Chernobyl Aftermath

*Adriana Petryna*

**High doses absorbed by at least 200,000 Chernobyl clean-up workers between 1986 and 1987 were insufficiently documented.**

**The USSR set the “threshold” of acceptable radiation at 35 rem. After its fall, lawmakers lowered it to 7 rem, what an average American would be exposed to in his or her lifetime. Maps of the radioactive fall-out that justified human evacuations in the Soviet era were expanded and the welfare system swelled to accommodate the *newly designated* Chernobyl sufferers.**

**A woman says her husband died three days ago and that she is seeking additional state protections. He worked in the Zone in two-week shifts, transporting contaminated building materials from the reactor to "burial pits" throughout the Zone. She lives on a pension of $26.00. He collected a pension of $75.00 before his cancer-related death. "Was there a Chernobyl pension already calculated in his regular pension?" Yes, an added 16 dollars a month for his work in the Zone. “What do you want here?” “The compensation for his Chernobyl related death” (presumably not included in the 16 dollars a month or in the 75 dollars of the one-off pension)**

**Once numbers are attached to the reasoning we examined last class new and different kinds of claims can be made.**

# Part 2

# Audit cultures: the moral force of numbers

**Mapping those numbers onto standards, targets, margins, and the like, TCBFE gains moral traction in the key of improvement, accountability, self-responsibility…**

# Cambridge, 1760s

# Cambridge University

## Arms of the Cambridge Colleges

PETERHOUSE

FOUNDED A.D. 1284

MAGDALENE

FOUNDED A.D. 1542

CHURCHILL

FOUNDED A.D. 1960

EMMANUEL

FOUNDED A.D. 1584

PEMBROKE

FOUNDED A.D. 1347

NEWNHAM

FOUNDED A.D. 1871

SELWYN

FOUNDED A.D. 1882

DOWNING

FOUNDED A.D. 1800

JESUS

FOUNDED A.D. 1496

QUEENS'

FOUNDED A.D. 1448

GIRTON

FOUNDED A.D. 1869

CHRIST'S

FOUNDED A.D. 1505

KING'S

FOUNDED A.D. 1441

CLARE

FOUNDED A.D. 1326

ST. JOHN'S

FOUNDED A.D. 1511

TRINITY

FOUNDED A.D. 1546

TRINITY HALL

FOUNDED A.D. 1350

SIDNEY SUSSEX

FOUNDED A.D. 1596

ST. CATHARINE'S

FOUNDED A.D. 1473

GONV. & CAIUS

FOUNDED A.D. 1348

FITZWILLIAM

FOUNDED A.D. 1966

CORP. CHRISTI

FOUNDED A.D. 1352

**1760s: written answers**

**1792: all answers to be marked numerically, so that**

**'is and ought will be brought into proper alignment, and the best candidate will be declared Number One'.**

**A <u>particular performance</u> became a register of a <u>general truth</u> about the person.**

**If performance could be measured, then targets could be set and aimed for. What is became explicitly understood in terms of what ought to be: With numbers came a new morality of attainment.**

# Break

# “a morality of attainment”

**the projection of moral traits and virtues**

**– worth/self-worth, deservingness, respectability, propriety, decency, rectitude, good form, shame, embarrassment –**

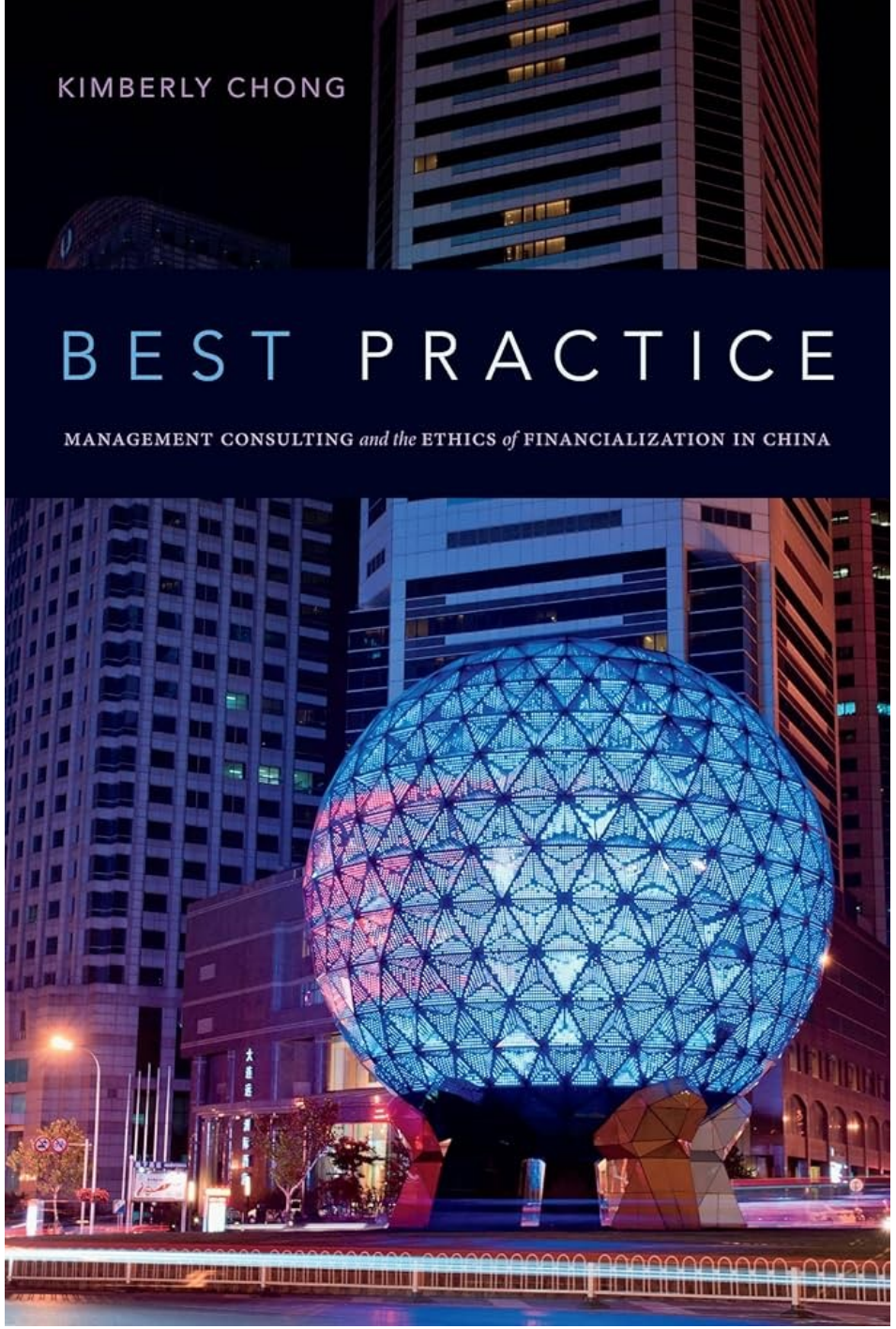
**onto numerical frames of reference**

**– standards, targets, indexes, proportions, averages, “medians”/means, etc. –**

# In TCBFE

**A lot of the work of assigning numbers to things *that don't organically carry them* has to do with setting targets, standards and numerical renderings of virtue and vice that moralise economic, business and financial activity.**

# Best Practice: Management Consulting and the Ethics of Financialization in China



# 1. Consultants' billability

**Billability is a "hard KPI." The consulting company hires a young consultant. They pay her a salary. She needs to find projects to work on. The company bills the client whose project she works on for each hour of her work. The number of hours an individual consultant spends assigned to a consulting project, are her "billable hours." This number is then fed into the foll calculate**

$$\frac{\text{Billable hours}}{\text{Total hours worked}} \times 100$$

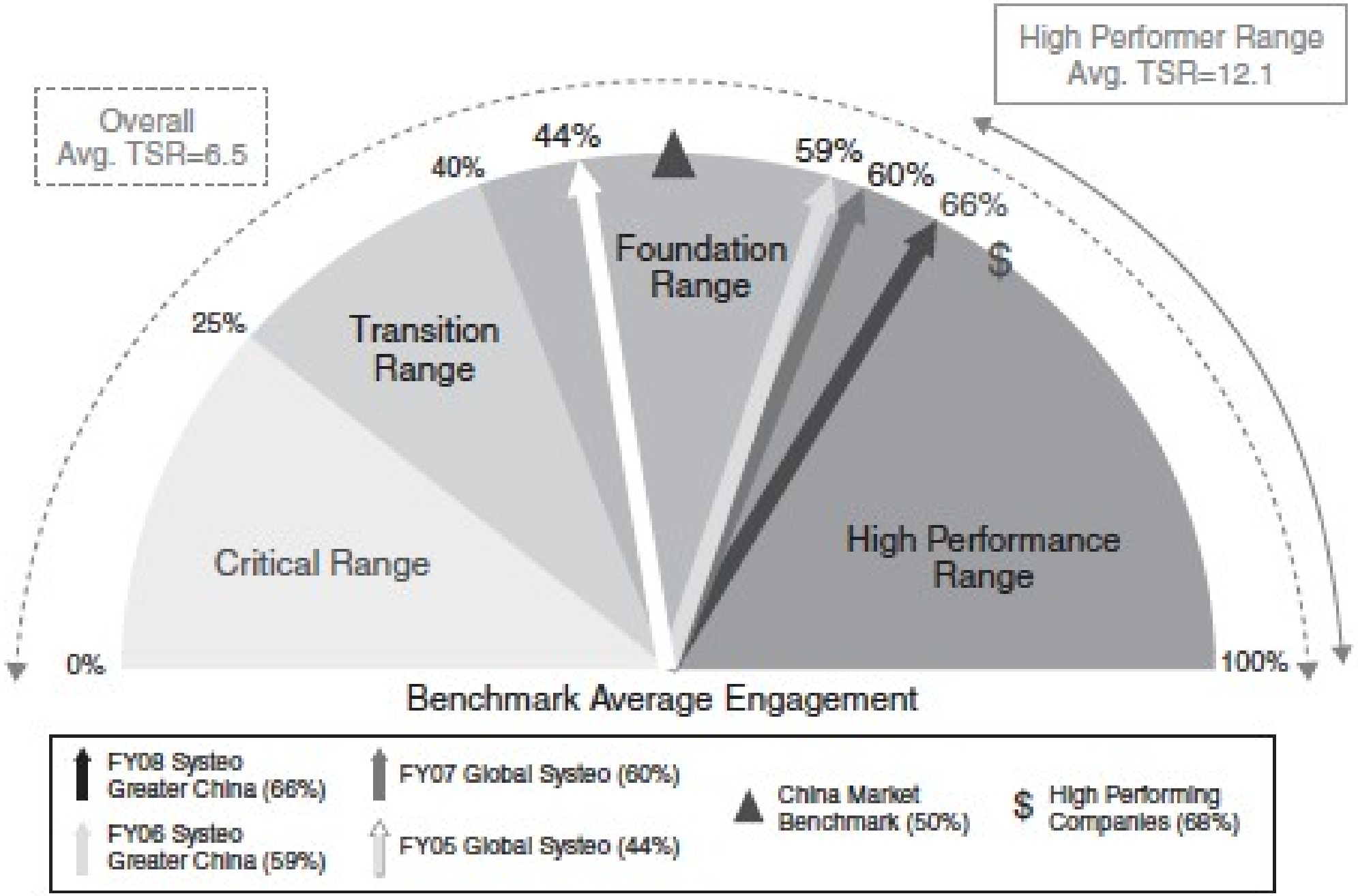
**Although in itself a metric relating to time, billability became consultants' capacity to generate revenue—it became a quality of persons. The company established a target enforced through sanctions**

TABLE 2.1: Consultants' billability targets by level

| LEVEL OF CONSULTANT | BILLABILITY TARGET |
|---|---|
| Junior consultant | 86% |
| Mid-level consultant | 90% |
| Manager | 75% |
| Senior manager | 70% |

# 2. “Employee Engagement Score”

**“Melissa” showed us “Employee engagement”, represented by a crescent that looks like a speed dial. The “good progress” refers to the 6 percent increase in TSR, from 60 percent in FY2007 to 66 percent in FY2008. The company is now in the High Performance Range. By contrast, the triangle in the middle of the dial shows that the average Chinese company—the typical client—operates at 50 percent. This is the “benchmark” from which the performance of Systeo Greater China is judged.**


High Performer Range
Avg. TSR=12.1
Overall
Avg. TSR=6.5
44%
40%
59%
60%
66%
$
Foundation
Range
25%
Transition
Range
Critical Range
High Performance
Range
0%
100%
Benchmark Average Engagement
FY08 Systeo
Greater China (66%)
FY07 Global Systeo (60%)
China Market
Benchmark (50%)
$ High Performing
Companies (68%)
FY06 Systeo
Greater China (59%)
FY05 Global Systeo (44%)

**“The “Employee Engagement Score”, referred to as a measure of employees’ sentiments, actually refers to total shareholder return annualized over a five-year period… or TSR.**

**Melissa kept referring to the percentage increase in TSR as an improvement in the engagement score. It is only when I examined the slides later that I realised employee engagement is not an abstract measure of employees’ commitment to the company. It refers to a workforce that confers a healthy return to the company’s shareholders. Yet the link between their work, their engagement and shareholder return was never made explicit”**

**Numbers travel, from context to context, creating new expectations of worth and deservingness, new moralities of attainment, disciplining us, instilling new ethical dispositions, senses of urgency, etc.**

**Disciplining techniques**

PLECTO

# Call Center Dashboard

Plecto Example

## Available Age...
Today

1

## Average Handling Time
Today

03:45

## Answered Calls
Today

6

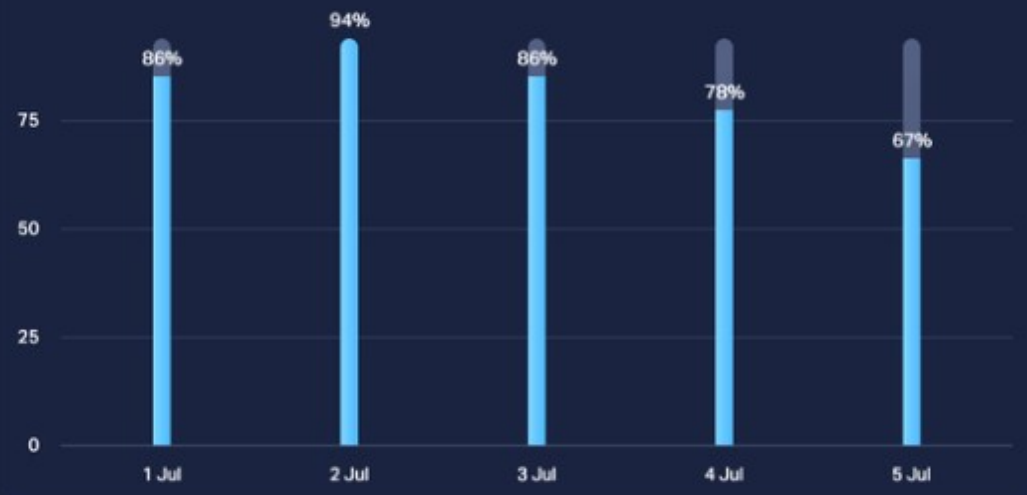
## Average Wait Time
Today

01:48

## Abandon rate
Today

6%

## SLA
Month to date




## Agent Performance
Current month

| | EMPLOYEE | AVAILABILITY | INBOUND CALLS | AHT | OUTBOUND CALLS |
|---|---|---|---|---|---|
| 2 | Mike Novak | available | 15 | 03:40 | 3 |
| 3 | Jennifer Mata | custom | 19 | 03:12 | 4 |
| 4 | Karen Castillo | custom | 22 | 03:50 | 2 |
| 5 | Kyle Daniels | custom | 18 | 04:20 | 0 |
| 6 | Susan Anderson | custom | 16 | 03:20 | 0 |
| 7 | Anna Cole | unavailable | 19 | 03:45 | 0 |
| 8 | Curtis Miller | unavailable | 22 | 03:42 | 3 |

## CSAT
Current month

| | |
|---|---|
| Very Happy | 28% |
| Happy | 25% |
| Unhappy | 13% |
| Extremely Happy | 12% |
| Neutral | 9% |
| Extremely Unhappy | 8% |
| Very Unhappy | 5% |

# Know your health numbers

These key stats will help make sense of your health checks and understand what's normal for you, so you can keep track of your health and seek support when you need it.

## Body mass index (BMI)

**Ideal range: 18.5 – 24.9**

Gives an indication of how healthy your weight is.

## Blood pressure

**Ideal range: 90/60 – 120/80mmHg**

Measures the force of your heart pumping blood around your body.

| Scale | N items | Cronbach's Alpha | Example of items |
|---|---|---|---|
| *Parenting practices*[a] | | | |
| Monitoring food intake | 4 | 0.76 | How often do you keep track of the sweets and the snack food that your child eats? |
| Responsibility regarding nutrition | 2 | 0.58 | How often are you responsible for deciding your child's portion sizes? |
| Monitoring physical activity | 2 | 0.67 | How often do you keep track of the amount of physical activity your child engages in? |
| Responsibility regarding physical activity | 2 | 0.91 | How often are you responsible for deciding whether your child gets enough physical activity? |
| *Feeding styles*[b] | | | |
| Control over eating | 10 | 0.73 | I allow my child to choose which foods to have for meals. |
| Instrumental feeding | 4 | 0.69 | In order to get my child to behave him/herself I promise him/her something to eat. |
| Emotional feeding | 5 | 0.83 | I give my child something to eat to make him/her feel better when he/she is feeling upset. |
| Encouragement to eat | 8 | 0.76 | I encourage my child to taste foods that he/she has not tasted before |
| *General parenting* | | | |
| Authoritative parenting[c] | 12 | 0.61 | I respect my child's opinion and encourage him/her to express it. |
| Authoritarian parenting[c] | 12 | 0.62 | I believe children should not have secrets from their parents. |
| Psychological control[c] | 8 | 0.60 | I avoid looking at my child if he/she does not see things my way. |
| Efficacy of and satisfaction with parenting[d] | 16 | 0.76 | Sometimes I feel I'm not getting anything done. |

[a]5-point Likert scale form disagree to agree

[b]5-point Likert scale from never to always

[c]5-point Likert sc[a]le [from] completely disagree to completely agree

[d]6-pont Likert scale from strongly disagree to strongly agree.

doi:10.1371/journal.pone.0122240.t001

# Features

**These multiplying standards, targets, indexes and parameters, in numbers but also graphs, maps, colours, and so on, very often invent the things they claim to only measure**

**What exactly could “Employee Engagement” be?**

**What are the “five stars”?**

# Also, numbers:

**They work as technologies of detachment (we will return to this)**

**“it’s not me saying that you’re underperforming. It’s your scores”**

Uber

# Your delivery satisfaction rating from restaurants and customers is getting low

Hi Jimmy,

Your delivery satisfaction rating from restaurants and customers has dropped below the average for delivery partners in your city.

Improving your rating will help you provide a better experience for your customers and will enable you to keep delivering with Uber Eats. If your average rating drops below 86%, you will be at risk of losing the ability to deliver with Uber Eats, as per our Community Guidelines and the Portier Services Agreement.

**They work as a disciplining technique – you govern yourself, be a good patient, be a good parent, be a good consultant, know your stats, internalize authority over yourself.**

**They are often designed less to inform, and more to legitimise and enact an ethical intervention**

**They sustain the rise of accountability as a virtue, as in rendering your accounts and giving an account.**

**They lubricate a shirt from productivity to performance:**

**“While productivity once denoted the relationship between input and output, now it refers to economic activity that can be measured, made visible, and thus is amenable to control. Indeed, the fact that productivity is often replaced by the term performance is a reminder that what matters today is not what you do, but what gets seen.” (K. Chong)**

**When measurements, standards, indexes, numbers, etc., become targets, they cease to be good as measurements…**

**… because things that would matter but are hard to measure are distorted or done away with in the self discipline required to hit that target.**

# Concluding